control. The consultants suggested creation of a planning department which would monitor the entire process of performance budgeting at different levels of management.

The proposals from IIMA were placed for approval before the SBI Central Board on April 30, 1971, and it was decided to implement the recommendations in a phased manner commencing with the Bombay and Ahmedabad Circles from July 1, 1971. The Bombay Circle was selected because proximity of the Bombay LHO to the central office would facilitate supervision and guidance. The Ahmedabad Circle was chosen to facilitate interaction between the IIMA and the Ahmedabad LHO. A reorganization department was created at the central office under a Chief Officer (Reorganization) and similar departments were created at the LHOs. The scheme was implemented on a trial basis for six months with effect from July 1, 1971 in the two Circles, and, later, was extended by another six months.

Three months later on October 1, a new emblem (and which remains the SBI emblem to this day) was adopted. The circular form of the emblem suggests unity and completeness and the small circle in the centre connotes that despite the bank's size it is the small man who holds centre stage at the bank. Viewed from another perspective it represents a keyhole—a symbol of safety, security, and strength.[8]

The new structure was found to be effective and the process of restructuring was extended to all other circles from July 1, 1972, after realigning circle boundaries. 'The new design was principally based on the concept of market segmentation, whereby our activities have been sought to be oriented towards meeting the different needs of different classes of customers. Such an approach, we felt, would help us in better identifying the characteristic needs, different customer-groups and providing appropriate services to meet these needs by introducing, where necessary, new schemes and facilities.'[9]

While discussing the reorganization Prof. Dayal questioned Talwar on why he wanted to take up the exercise since given the many problems they would encounter it would inconvenience him personally. Talwar told Dayal that he wanted to leave the bank stronger than he found it when he became its Chairman.[10]